

Price is falling going into the start of the pattern, then reverses, and the scallop builds. Price breaks out upward when it closes above the highest high in the scallop. Unfortunately, the market downdraft sucks price lower, and with overhead resistance, this trade is doomed.

The lessons from this chart are two: First, watch the prevailing price trend. Select patterns in a rising price trend and avoid those in a downtrend. Second, always search for support and resistance zones before investing. Those chart patterns are the most important as they help you gauge the expected price move in either direction. My book, *Trading Classic Chart Patterns* (Wiley, 2002), gives a good tutorial on support and resistance and includes performance statistics.

[Figure 58.5](#) shows the second type of failure. Two of the three patterns are valid ascending and inverted scallops. Which one is the dud? You might guess the first one, and I admit the top looks more like a flat rectangle than a rounded scallop. The variation in patterns is so wide that you have to be flexible; you can always ignore the questionable ones and trade the sure things.